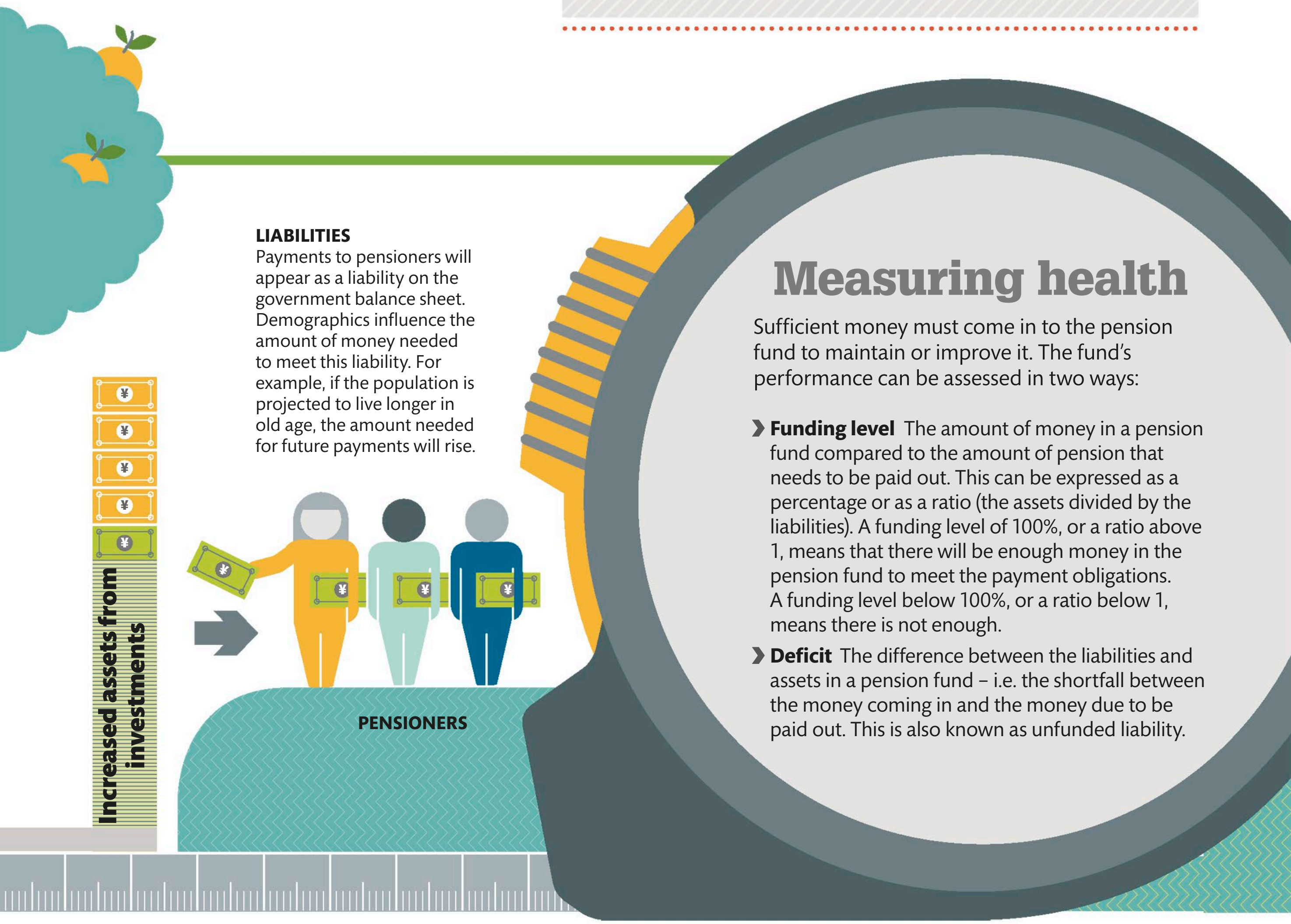
"A pension is nothing more than deferred compensation"

Elizabeth Warren, US politician

WARNING

- **Over-investment in equity** (stocks and shares), which can promise high returns, poses a potential risk to any pension fund, and can be especially damaging to state pension funds. Japan discovered this after the nation's Government Pension Investment Fund lost 5.6 per cent of its value in the third quarter of 2015 due to stock market investments.
- **Government priorities** can influence the way pension contributions are invested. These are not always in the best interests of the pension pool or its future ability to make payments. In some countries, a percentage of pension contributions are lent to the government for other purposes, or invested in public projects such as housing.



LIABILITIES
Payments to pensioners will appear as a liability on the government balance sheet. Demographics influence the amount of money needed to meet this liability. For example, if the population is projected to live longer in old age, the amount needed for future payments will rise.

Measuring health

Sufficient money must come in to the pension fund to maintain or improve it. The fund's performance can be assessed in two ways:

- **Funding level** The amount of money in a pension fund compared to the amount of pension that needs to be paid out. This can be expressed as a percentage or as a ratio (the assets divided by the liabilities). A funding level of 100%, or a ratio above 1, means that there will be enough money in the pension fund to meet the payment obligations. A funding level below 100%, or a ratio below 1, means there is not enough.
- **Deficit** The difference between the liabilities and assets in a pension fund – i.e. the shortfall between the money coming in and the money due to be paid out. This is also known as unfunded liability.